

PARIKSHA365 — STUDY NOTES

Economics — Common Book

SSC, RRB, Banks (GA + Banking), State PSC —
Indian Economy + Banking Awareness

SSC

RRB

BANKS

STATE PSC

v 2026-04

The promise. Read this book end-to-end (with the usual two re-reads + active recall on the embedded prompts) and you will be able to attempt every quiz question in the Pariksha365 pool for this subject with a strong fundamental grasp.

Examiner's Blueprint — What Economics Questions Are Really About

⚠ EXAM ALERT

Economics questions in competitive exams are almost never conceptual — they are factual. Examiners test whether you know specific years, numbers, chairpersons, and institutional details. Here is what they repeatedly test: **1. Five-Year Plans** — which plan had the Mahalanobis model? Which was the last? What year did NITI Aayog replace the Planning Commission? **2. RBI facts** — founding year, nationalisation year, first Indian governor, current repo rate. **3. Finance Commissions** — which FC gave states 42%? Who chaired the 16th FC? **4. GST** — launch date, number of slabs, constitutional amendment number, what's outside GST. **5. Bank nationalisation** — how many banks in 1969, how many in 1980. **6. Key schemes** — PM-KISAN, PMJDY, Ayushman Bharat: year launched and what they do. **7. Economic indices** — India's HDI rank, GII rank, forex reserves rank. Do not spend excessive time on theory. Know these specific numbers and dates.

Current rates and numbers (April 2026 — verify before any exam after Q3 2026):

Item	Value
Repo Rate	5.25% (neutral stance, Apr 2026)
CRR	3.00%
SLR	18.00%
Reverse Repo	3.35%
MSF / Bank Rate	5.50%
RBI Governor	Sanjay Malhotra (26th, since Dec 2024)
GDP World Rank (nominal)	6th (~\$4.15T)
Forex Reserves	~\$700–703 billion (4th largest globally)
Finance Commission (current)	16th — Chair Arvind Panagariya (2026–31)
Maharatna CPSEs	14 (HAL added Oct 2024 as 14th)
HDI Rank	130/193 (UNDP 2025 report; value 0.685)

PART A — BASICS

Chapter 1 — Economic Systems and Sectors

Economics is the study of how societies allocate **scarce resources** for **unlimited wants**. Defined by Lionel Robbins (1932): "the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses."

Three fundamental questions every economy must answer: 1. **What** to produce? 2. **How** to produce? 3. **For whom** to produce?

Economic Systems

System	Decision - maker	Examples	Key feature
Market / Capitalist	Private individuals + market	USA, UK	Efficient; innovation; inequality
Command / Socialist	State central planning	Former USSR, North Korea	Equality; public goods; inefficient
Mixed	State + market together	India , France	Balance of both; complex

India is a **mixed economy** — post-1991 LPG reforms increased the market share but the state remains crucial in infrastructure, social welfare, and defence.

Three Sectors by Nature of Activity

- **Primary** — agriculture, fishing, mining, forestry (extraction from nature).
- **Secondary** — manufacturing, industry, construction.
- **Tertiary** — services: IT, banking, health, education, transport, trade.

India's GDP composition: Primary ~17%, Secondary ~27%, Tertiary ~56%. But the primary sector still employs ~46% of the workforce — a massive productivity gap.

✓ KEY FACT

The informal (unorganised) sector employs about ****85% of India's workforce**** but has no regular contracts or social security. The formal (organised) sector employs only 15%. This huge informality is a defining feature of India's economy.

PART B — NATIONAL INCOME

Chapter 2 — GDP, GNP, and National Income

Simon Kuznets (Nobel 1971) developed the modern framework of national income accounting in the 1930s. In India, V.K.R.V. Rao produced the first national income estimate in 1931 (for 1925–29). The National Income Committee under P.C. Mahalanobis (1949) set up the official measurement system.

The Key Concepts

- **GDP** — value of all final goods and services produced **within a country's borders** in a year.
- **GNP = GDP + NFIA** (Net Factor Income from Abroad) — income earned by a country's citizens anywhere in the world.
- **NDP = GDP – Depreciation** (wear and tear of capital).
- **NNP = GNP – Depreciation.**
- **National Income = NNP at factor cost** = NNP at market prices minus indirect taxes plus subsidies.
- **Per capita income** = National Income / Population.

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GDP → add NFIA → ****GNP****. Both GDP and GNP → subtract Depreciation → NDP and NNP.
NNP at factor cost = ****National Income****. The chain: ****GDP → GNP → NNP → NI → PCI****.

Real vs Nominal

- **Nominal GDP** — at current prices; includes inflation effects.
- **Real GDP** — at base-year prices; shows genuine growth.
- **GDP Deflator** = $(\text{Nominal GDP} / \text{Real GDP}) \times 100$. Measures economy-wide price level.

Current GDP base year = 2022–23 (released by MoSPI in February 2026; replaced the old 2011–12 base).

Three Methods of Measuring GDP

1. **Production / Value-Added method** — sum of Gross Value Added across all sectors.
2. **Income method** — wages + rent + interest + profits.
3. **Expenditure method** — **GDP = C + I + G + (X – M)**: Consumption + Investment + Government spending + Net Exports.

⚠ EXAM ALERT

India's GDP by PPP (Purchasing Power Parity) makes it the ****3rd** largest economy in the world****** (after China and USA) since 2014. But by nominal GDP, India is ****6th**** (as of April 2026). Examiners ask both separately. PPP = 3rd; Nominal = 6th.

PART C — MONEY AND BANKING

Chapter 3 — The Reserve Bank of India (RBI)

Founded: 1 April 1935 under the RBI Act, 1934, based on recommendations of the **Hilton Young Commission (1926)**. **Nationalised:** 1 January 1949. **HQ:** Mumbai (originally Calcutta; moved to Mumbai in 1937).

First Governor: Sir Osborne Smith (Australian, 1935–37). **First Indian Governor:** C.D. Deshmukh (1943–49). **Current Governor:** Sanjay Malhotra (December 2024 onwards, 26th Governor).

Note: The ₹1 note is issued by the **Ministry of Finance** (not RBI). Every other denomination is issued by RBI.

RBI's Monetary Policy Tools

Quantitative tools (control money supply):

Tool	Definition	Current Value (Apr 2026)
Repo rate	Rate at which RBI lends to banks against G-Secs (benchmark rate)	5.25%
Reverse Repo	Rate RBI pays banks for overnight deposits	3.35%
MSF (Marginal Standing Facility)	Emergency overnight window at Repo + 0.25%	5.50%
Bank Rate	Long-term lending rate (mostly signalling)	5.50%
CRR (Cash Reserve Ratio)	% of NDTL banks must keep with RBI as cash (earns no interest)	3.00%
SLR (Statutory Liquidity Ratio)	% banks must keep in G-Secs, gold, or cash (earns interest)	18.00%
OMO (Open Market Operations)	RBI buys/sells G-Secs to inject/drain liquidity	—

✓ KEY FACT

The difference between CRR and SLR: ****CRR = kept with RBI as cash, no interest earned****. ****SLR = kept in government securities at the bank itself, earns interest****. Both reduce the money available for lending when raised.

Monetary Policy Committee (MPC)

- Established by the **2016 Amendment to the RBI Act**.
- **6 members**: 3 from RBI (Governor chairs + casting vote; Dy Governor; one RBI officer) + 3 external members appointed by the Central Government.
- **Meets bi-monthly** (6 times a year).
- **Mandate**: Keep CPI inflation at **4% ± 2%** (i.e., 2–6% band) for 5-year blocks.

Chapter 4 — Banking in India

Historical Milestones

- **First bank in India**: Bank of Hindustan, Calcutta, 1770 (failed 1832).
- **First Indian-owned bank still operating**: Punjab National Bank, 1894 (founded by Lala Lajpat Rai + Dyal Singh Majithia).
- **SBI**: Formed 1 July 1955 from Imperial Bank of India (itself created 1921 by merging three Presidency banks — Bengal, Bombay, Madras).

Bank Nationalisation

- **19 July 1969** — Indira Gandhi nationalised **14 banks** with deposits over ₹50 crore.
- **1980** — 6 more banks nationalised (deposits over ₹200 crore).

Ⓢ MNEMONIC

Banks nationalised: ****14 in 1969, 6 in 1980****. Remember: "****14 + 6 = 20****" banks were nationalised in total in two waves.

PSB Mergers (2017–2020)

Reduced public sector banks from 27 to **12**: - SBI absorbed 5 associates + Bharatiya Mahila Bank (2017). - BoB + Vijaya + Dena Bank (April 2019). - Four mega-mergers effective April 2020: PNB+OBC+UBI; Canara+Syndicate; Union+Andhra+Corporation; Indian+Allahabad.

UPI — Digital Payments Revolution

- **UPI (Unified Payments Interface)** — launched **11 April 2016** by Governor Raghuram Rajan.
- Operated by **NPCI (National Payments Corporation of India, est. 2008)**.
- Handles 12+ billion transactions per month; ~50% of global real-time payments.
- Top apps: PhonePe, Google Pay, BHIM, Paytm.

Payment Systems

System	Year	Settlement	Key use
RTGS	2004	Real-time (24×7 since 2020)	≥ ₹2 lakh transfers
NEFT	2005	Batched (24×7 since 2019)	Any amount
IMPS	2010	24×7 immediate	Up to ₹5 lakh mobile
UPI	2016	24×7 instant	P2P and P2M
RuPay	2012	—	Domestic card network
FASTag	2017	—	RFID-based toll payment
e-RUPI	2021	Voucher	Single-use prepaid benefit delivery
CBDC (Digital Rupee)	Nov 2022 (pilot)	—	Wholesale + retail

Chapter 5 — Inflation

Types of Inflation

- **Demand-pull** — excess demand ("too much money chasing too few goods").
- **Cost-push** — rising input costs (oil, wages, raw materials).
- **Structural** — supply bottlenecks and rigidities.
- **Imported** — weaker rupee makes imports more expensive.
- **Hyperinflation** — exceeds 50% per month (Weimar Germany 1923, Zimbabwe 2008).
- **Stagflation** — stagnant growth + high inflation simultaneously (USA 1970s).
- **Deflation** — negative inflation (prices falling).
- **Disinflation** — inflation rate is falling but still positive.

Inflation Indices

- **CPI (Consumer Price Index)** — retail prices; covers food (45.86% weight), fuel, housing, etc. Published by NSO. **RBI targets CPI** (not WPI) since 2016. Base year: 2024 (new series released February 2026).
- **WPI (Wholesale Price Index)** — wholesale prices; no services. Published by DPIIT. Base year: 2011–12.
- **CPI-IW** (Industrial Workers) — used for calculating Dearness Allowance (DA) for govt employees.

⚠ EXAM ALERT

RBI targets **CPI inflation** at $4\% \pm 2\%$ (the 2–6% band). RBI does NOT target WPI. This distinction is tested frequently. Headline inflation = overall CPI. Core inflation = CPI excluding food and fuel.

PART D — FISCAL POLICY

Chapter 6 — Union Budget

The Union Budget is presented by the Finance Minister in the Lok Sabha under **Article 112** (Annual Financial Statement) of the Constitution.

Since **2017**, the Budget is presented on **1 February** every year (previously on the last day of February). The Railway Budget was merged with the Union Budget in 2017.

The Three Government Funds

1. **Consolidated Fund of India** (Article 266(1)) — all government revenues and borrowings. Parliament must approve all spending from this fund.
2. **Contingency Fund** (Article 267) — ₹30,000 crore; for unforeseen emergencies; at the President's disposal without prior Parliament approval.
3. **Public Account** (Article 266(2)) — provident funds, savings; government acts as banker.

Types of Deficits

- **Revenue Deficit** = Revenue Expenditure – Revenue Receipts. Negative savings.
- **Fiscal Deficit** = Total Expenditure – (Revenue Receipts + Non-debt Capital Receipts). The key indicator of government borrowing.
- **Primary Deficit** = Fiscal Deficit – Interest Payments. Shows deficit excluding interest burden.
- **Effective Revenue Deficit** = Revenue Deficit – Grants for capital assets.

FRBM Act (2003) — Fiscal Responsibility and Budget Management Act. Target: Fiscal Deficit $\leq$ 3% of GDP. India has consistently missed this target.

Chapter 7 — GST

GST launched: 1 July 2017 via the **101st Constitutional Amendment, 2016**. Slogan: "One Nation, One Tax."

- **CGST** — Central GST (Centre's share).
- **SGST** — State GST (state's share; UTGST in Union Territories with legislature).
- **IGST** — Integrated GST (inter-state transactions + imports; collected by Centre, given to destination state).
- **Principle: Destination-based** — taxed where consumed, not where produced.

GST Rate Slabs: 0%, 5%, 12%, 18%, 28% + compensation cess on luxury and sin goods. - Gold: 3%. Rough diamonds: 0.25%. - **Outside GST**: Petroleum (petrol, diesel, ATF, crude oil, natural gas), alcohol, electricity duty, stamp duty.

GST Council — under Article 279A; chaired by the Union Finance Minister; all state Finance Ministers + 2 Union Ministers. Decisions require 3/4 majority (Centre has 1/3 weight, states have 2/3 weight combined).

✓ KEY FACT

Petroleum and alcohol are the biggest revenues kept outside GST — states collect their own taxes on these. This is why petrol prices vary across states. These items generate the most state VAT revenue, so states were unwilling to bring them under GST.

Chapter 8 — Finance Commissions

Article 280 of the Constitution mandates setting up a Finance Commission every **5 years**. It recommends: (i) devolution of central taxes to states (vertical and horizontal), (ii) grants-in-aid, (iii) measures for local bodies.

FC	Chair	Period	State Devolution
12th	C. Rangarajan	2005–10	30.5%
13th	Vijay Kelkar	2010–15	32%
14th	Y.V. Reddy	2015–20	42% (historic jump from 32%)
15th	N.K. Singh	2020–26	41%
16th	Arvind Panagariya	2026–31	TBD

⚠ EXAM ALERT

The 14th Finance Commission under Y.V. Reddy is historically significant for jumping states' share from 32% to ****42%**** — the largest ever increase in one step. This was a key step in India's cooperative federalism agenda. The 15th FC reduced it slightly to 41% because J&K became a UT.

PART E — PLANNING AND DEVELOPMENT

Chapter 9 — Five-Year Plans and NITI Aayog

The Planning Commission was set up on **15 March 1950** by Cabinet Resolution. It was chaired by the Prime Minister but was **not** a constitutional or statutory body. It was abolished and replaced by NITI Aayog from **1 January 2015**.

The 12 Five-Year Plans

Plan	Period	Key Model / Focus	Notable Events
1st	1951–56	Harrod-Domar; agriculture	Bhakra-Nangal, Hirakud dams
2nd	1956–61	Mahalanobis; heavy industry	Bhilai, Rourkela, Durgapur steel plants
3rd	1961–66	Self-sufficient	Failed — China war (1962), Pakistan war (1965)
Plan Holiday	1966–69	Annual plans	Green Revolution began
4th	1969–74	Garibi Hatao	Bank nationalisation 1969
5th	1974–79	Poverty alleviation	Terminated early by Janata government
6th	1980–85	Modernisation	—
7th	1985–90	Productivity + technology	Rajiv Gandhi era
Annual	1990–92	Instability	1991 BoP crisis and LPG reforms
8th	1992–97	Human resource development	LPG reforms implemented; 6.8% growth
9th	1997–2002	Growth with social justice	—
10th	2002–07	Double per capita income	7.6% growth
11th	2007–12	Inclusive growth	8.0% growth (best average)
12th	2012–17	Faster, sustainable, inclusive	Last Five-Year Plan

****2nd Plan = Mahalanobis model = Heavy industry**** — the "Big Push" theory. India invested heavily in steel plants at Bhilai (Soviet help), Rourkela (German help), and Durgapur (British help). The emphasis on heavy industry over consumption set India's economic trajectory for decades.

NITI Aayog (1 January 2015)

NITI = National Institution for Transforming India

- **Chairperson:** Prime Minister (ex-officio).
- **Vice-Chairperson:** Suman K. Bery (2022–).
- **CEO:** Nidhi Chhibber (Additional Charge, since February 2026).
- **Governing Council:** All Chief Ministers + Lt. Governors of UTs + Prime Minister.

Key outputs: 3-Year Action Agenda; 7-Year Strategy; 15-Year Vision; **SDG India Index** (annual since 2018); Aspirational Districts Programme (112 districts); National MPI.

NITI Aayog is **not** a constitutional or statutory body — it is formed by Cabinet resolution, just like the old Planning Commission.

Chapter 10 — Poverty, Unemployment, and Human Development

Poverty Measurement

Committee	Year	Approach
Working Group	1962	Calorie norm: 2,400 kcal (rural), 2,100 (urban)
Lakdawala	1989	State-specific poverty lines
Suresh Tendulkar	2009	MPCE (monthly per-capita consumption expenditure); still the official poverty line
C. Rangarajan	2014	Revised upward — not officially adopted
NITI Aayog MPI	2021+	12 indicators across health, education, living standards

India's Multidimensional Poverty: 14.96% (2019–21 → declined significantly); about 5% by 2022–23 (estimated).

Key Economic Indices

Index	Published by	India's rank (latest)
HDI (Human Development Index)	UNDP	130/193 (2025 report); value 0.685
Global Hunger Index	Welthungerhilfe	102/123 (GHI 2025) — "Serious"
Global Gender Gap	WEF	129/146 (2024)
Corruption Perception Index	Transparency International	96/180 (2024)
Global Innovation Index	WIPO	38/139 (GII 2025) — 15th consecutive year as overperformer
Ease of Doing Business	World Bank (discontinued 2021)	India rose from 142nd (2014) to 63rd (2020)

✓ KEY FACT

HDI was conceived by **Mahbub ul Haq** and **Amartya Sen** (1990). It has three dimensions: (1) Health — life expectancy, (2) Education — mean and expected years of schooling, (3) Income — GNI per capita in PPP. A score of 0.700+ is "High Human Development." India at 0.685 is approaching this threshold.

PART F — EXTERNAL SECTOR

Chapter 11 — Balance of Payments and Forex

Balance of Payments Structure

- **Current Account** — trade in goods (merchandise), trade in services (IT, tourism), income (remittances, dividends), current transfers.
- **Capital Account** — FDI, FPI/FII, External Commercial Borrowings (ECBs), banking capital.
- **Reserves** — changes in foreign exchange reserves.

India typically has a **Current Account Deficit (CAD)** of ~1–2% of GDP (imports > exports of goods). This is offset by a capital account surplus (FDI + FII inflows).

Forex Reserves

India's foreign exchange reserves = approximately **\$700 billion (2024)** — the **4th largest** in the world (after China, Japan, Switzerland). Covers ~10–11 months of imports.

Components: Foreign Currency Assets (~610B), *Gold* (60B, about 820 tonnes), SDRs (~18B), *Reserve Tranche in IMF* (5B).

The 1991 Balance of Payments Crisis

By mid-1991, India's forex reserves had fallen to just ***~1.2 billion **
**—barely 2 weeks of import cover. The government secretly * *pledged 67 tonnes of gold **
**to the Bank of England and the Union Bank of Switzerland (May–July 1991) to raise 400 million emergency funds.*

PM Narasimha Rao took over in June 1991. Finance Minister **Manmohan Singh** (a technocrat) delivered the landmark **24 July 1991 Budget speech** launching the LPG (Liberalisation, Privatisation, Globalisation) reforms: devaluation of the rupee, industrial delicensing, trade liberalisation, disinvestment.

✓ KEY FACT

1991 is the most important year in India's post-independence economic history. The crisis forced reforms that transformed India from a closed, licence-raj economy to one that is more market-oriented and globally integrated. Manmohan Singh's line: "No power on Earth can stop an idea whose time has come."

Chapter 12 — International Economic Institutions

Institution	Founded	HQ	Key Role
IMF (International Monetary Fund)	1944 (Bretton Woods)	Washington D.C.	Balance of payments support; MD: Kristalina Georgieva
World Bank (IBRD)	1944 (Bretton Woods)	Washington D.C.	Development loans; President: Ajay Banga (Indian-American, 2023–)
WTO (World Trade Organization)	1 January 1995	Geneva	Trade rules; replaced GATT (1947); DG: Ngozi Okonjo-Iweala; 164 members
UNCTAD	1964	Geneva	Trade and development for developing countries
ADB (Asian Dev. Bank)	1966	Manila	Development finance in Asia
NDB (New Dev. Bank)	2015	Shanghai	BRICS bank; India is founding member

PART G — AGRICULTURE AND KEY SCHEMES

Chapter 13 — Agriculture

Important Agricultural Revolutions

Revolution	Sector	Key Person
Green Revolution	Wheat + rice (High Yielding Varieties)	M.S. Swaminathan (India); Norman Borlaug (world)
White Revolution (Operation Flood)	Milk and dairy	Verghese Kurien (Amul, Anand)
Blue Revolution	Fish and aquaculture	Hiralal Chaudhuri
Yellow Revolution	Oilseeds	Sam Pitroda era
Silver Revolution	Eggs and poultry	Indira Gandhi era
Evergreen Revolution	Sustainable agriculture	M.S. Swaminathan

× COMMON TRAP

Examiners often ask "Father of Green Revolution in India" — the answer is ****M.S. Swaminathan****. The "Father of Green Revolution" globally is ****Norman Borlaug**** (Nobel Peace Prize 1970). These are different people. Never confuse them.

MSP and Procurement

- **MSP (Minimum Support Price)** — government-announced price to protect farmers from price crashes. Covers **23 crops**: 7 cereals (paddy, wheat, jowar, bajra, ragi, maize, barley), 5 pulses (tur, moong, urad, chana, masur), 7 oilseeds, 4 commercial crops (cotton, sugarcane, copra, jute).
- **CACP (Commission for Agricultural Costs and Prices)** — recommends MSP since 1965.
- **FCI (Food Corporation of India, 1965)** — procures grains at MSP and manages the Public Distribution System (PDS).
- **NFSA 2013 (National Food Security Act)** — gives legal entitlement to subsidised food grain: 5 kg/person/month for 75% rural + 50% urban population.

Crop Seasons

- **Kharif** (June–October): rice, maize, jowar, bajra, cotton, soybean, groundnut.
- **Rabi** (October–March): wheat, barley, gram (chickpea), mustard.
- **Zaid** (March–June): watermelon, cucumber, summer vegetables.

Chapter 14 — Key Government Schemes

Scheme	Year	What It Does
PMJDY (Jan Dhan Yojana)	2014	Zero-balance bank accounts; RuPay debit card; ₹2L accident cover
MGNREGA	2005	100 days of guaranteed wage employment per household in rural areas
PM-KISAN	2019	₹6,000/year to farmers in 3 equal instalments
PMFBY	2016	Crop insurance scheme
MUDRA (PMMY)	2015	Micro-loans to enterprises: Shishu ($\leq$ ₹50K), Kishor, Tarun ($\leq$ ₹10L), Tarun Plus (₹10–20L)
Stand-Up India	2016	₹10L–₹1 crore loans to SC/ST and women entrepreneurs
PMAY (G+U)	2015–16	Housing for All — rural and urban
Ayushman Bharat (PM-JAY)	2018	₹5L health insurance; extended Oct 2024 to all 70+ citizens regardless of income
PM POSHAN	2021	Mid-day meals for school children (renamed from MDM scheme of 1995)
PM Ujjwala Yojana	2016	Free LPG connections to BPL women
Jal Jeevan Mission	2019	Piped water connection to every rural household
Skill India (PMKVY)	2015	Skill development and certification
PM SVANidhi	2020	Street vendor loans: ₹10K → ₹50K
PM Vishwakarma	2023	₹3L credit + tools + training for 18 traditional artisan trades
Sukanya Samriddhi Yojana	2015	Girl-child savings scheme; 21-year maturity
PMSBY	2015	Accident insurance ₹2L for ₹20/year
PMJJBY	2015	Life insurance ₹2L for ₹436/year
APY (Atal Pension Yojana)	2015	Guaranteed pension ₹1,000–₹5,000/month for unorganised sector
eNAM	2016	Online National Agriculture Market for trading farm produce

PART X — BANKING AWARENESS (For IBPS/SBI Candidates)

Monetary Aggregates

- **M0** (Reserve Money) = Currency in circulation + Bankers' deposits with RBI + Other deposits.
- **M1** (Narrow Money) = Currency with public + Demand deposits + Other deposits with RBI.
- **M2** = M1 + Post Office savings deposits.
- **M3** (Broad Money — **most cited**) = M1 + Time deposits with banks.
- **M4** = M3 + All Post Office deposits (excluding NSC).

Banking Institutions Taxonomy

Public Sector Banks (12 after 2020 mergers): SBI, PNB, Bank of Baroda, Canara, Union, Indian Bank, Bank of India, Central Bank, IOB, UCO, Punjab & Sind, Bank of Maharashtra.

Small Finance Banks: Equitas, AU, Ujjivan, Jana, ESAF, Suryoday, Capital, North East, Shivalik, Unity, Utkarsh.

Payment Banks (6): Airtel, Jio, India Post Payments, Fino, NSDL.

Development Finance Institutions: NABARD (1982), SIDBI (1990), NHB (1988), EXIM Bank (1982), NaBFID (2021).

Banking Acronyms (Must Know)

Acronym	Full Form
NPA	Non-Performing Asset (interest/principal overdue 90+ days)
CASA	Current + Savings Account ratio (low-cost deposit ratio)
CAR/CRAR	Capital Adequacy Ratio; Tier I + Tier II / Risk-Weighted Assets; minimum 9% (RBI); Basel III: 11.5%
SARFAESI	Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002
IBC	Insolvency and Bankruptcy Code, 2016; IBBI is the regulator; NCLT is the adjudicator
PCA	Prompt Corrective Action — framework for weak banks
MCLR	Marginal Cost of Funds-based Lending Rate (since April 2016)
EBLR	External Benchmark Lending Rate (since October 2019, often Repo-linked)
PSL	Priority Sector Lending — 40% of ANBC for scheduled commercial banks

Acronym	Full Form
FSDC	Financial Stability and Development Council
KYC	Know Your Customer (e-KYC via Aadhaar; CKYC = Central KYC)

Maharatna CPSEs (14 as of April 2026)

BHEL, BPCL, Coal India, GAIL, **HAL** (14th, added October 2024), HPCL, IOCL, NTPC, ONGC, Power Grid, SAIL, PFC, REC, Oil India.

Key Banking Committees

Committee	Year	Subject
Hilton Young	1926	Recommended establishing RBI
Narsimham I	1991	Banking sector reforms post-LPG
Narsimham II	1998	Structural strengthening of banks
Tandon	1974	Working capital lending norms
Nachiket Mor	2014	Financial inclusion (recommended Payment + Small Finance Banks)
Bimal Jalan	2019	RBI's economic capital framework
K.V. Kamath	2020	One-time restructuring framework (COVID relief)
P.J. Nayak	2014	Governance of bank boards

PART AA — ALL FIVE-YEAR PLANS (Summary Table)

Plan	Period	Model/Theme	Target	Achieved	Key Fact
1st	1951–56	Harrod-Domar; Agriculture	2.1%	3.6%	Bhakra-Nangal, Hirakud dams
2nd	1956–61	Mahalanobis; Heavy Industry	4.5%	4.3%	Steel plants at Bhilai, Rourkela, Durgapur
3rd	1961–66	Self-reliance	5.6%	2.8%	Failed — two wars + drought
Plan Holiday	1966–69	3 Annual Plans	—	—	Green Revolution started (1966)
4th	1969–74	Garibi Hatao	5.7%	3.3%	Bank nationalisation 1969; 1971 war
5th	1974–79	Poverty alleviation	4.4%	4.8%	Terminated by Janata govt in 1978
Rolling Plan	1978–80	—	—	—	Janata govt
6th	1980–85	Modernisation	5.2%	5.7%	—
7th	1985–90	Productivity + tech	5.0%	6.0%	Telecom, computers (Rajiv Gandhi)
Annual Plans	1990–92	—	—	—	1991 BoP crisis + LPG reforms
8th	1992–97	Human resource development	5.6%	6.8%	Best growth until then; LPG phase
9th	1997–2002	Growth with social justice	6.5%	5.4%	—
10th	2002–07	Double per-capita income	8.0%	7.6%	First plan with monitorable targets
11th	2007–12	Inclusive growth	9.0%	8.0%	Highest average growth
12th	2012–17	Faster, sustainable, inclusive	8.0%	6.7%	Last Five-Year Plan

PART AB — POVERTY, EMPLOYMENT, INDICES

(Detailed)

Poverty Lines — Evolution

Year	Committee/Method	Poverty Line
1962	Working Group	Calorie norms
1979	Y.K. Alagh	Calorie + expenditure
1989	Lakdawala	State-specific
2009	Suresh Tendulkar	MPCE — still the official poverty line
2014	C. Rangarajan	Higher revised line — not officially adopted

Employment Measurement

- **PLFS (Periodic Labour Force Survey)** — by NSO since 2017–18; annual + quarterly (urban). Replaced the old NSSO quinquennial surveys.
 - **LFPR** (Labour Force Participation Rate) — about 58% (2023); women's LFPR is about 37% — a major concern.
 - **UR** (Unemployment Rate) — about 3.2% overall; youth (15–29 years) unemployment ~10%.
 - **MGNREGA (2005)** — guarantees 100 days of unskilled wage work per rural household per year.
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PART AC — KEY ECONOMIC TERMS

- **Sensex** — Bombay Stock Exchange's benchmark index of 30 stocks; BSE founded 1875 (Asia's oldest stock exchange).
 - **Nifty 50** — NSE's benchmark index of 50 stocks; NSE founded 1992.
 - **SEBI** — Securities and Exchange Board of India; established 1988, made statutory 1992.
 - **T+1 settlement** — India moved to T+1 (trade plus 1 day) equity settlement in 2023; the first country globally to do so for full equities.
 - **NSDL + CDSL** — National Securities Depository Limited + Central Depository Services Limited — hold demat accounts.
 - **CAD** — Current Account Deficit (imports of goods > exports of goods + services surplus).
 - **Rupee** — managed float since 1993 (not freely convertible on capital account).
 - **Capital account convertibility** — partial; Tarapore Committee (I: 1997, II: 2006) recommended gradual approach.
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APPENDIX A — 25-Question Mini-Mock

1. Who proposed the 2nd Five-Year Plan model?
2. What year was NITI Aayog established?
3. NITI Aayog stands for what?
4. Which Finance Commission gave states 42%?
5. Who chaired the 16th Finance Commission?
6. Under which article is the Finance Commission set up?
7. When was RBI founded?
8. When was RBI nationalised?
9. First Indian Governor of RBI?
10. Who recommends MSP for crops?
11. How many crops are covered under MSP?
12. What year was GST launched?
13. Which constitutional amendment enabled GST?
14. Name three items outside GST.
15. How many banks were nationalised in 1969?
16. How many banks were nationalised in 1980?
17. How many public sector banks exist today (after mergers)?
18. What year was UPI launched?
19. What organisation runs UPI?
20. What is India's HDI rank (latest)?
21. Who founded the concept of HDI?
22. What year was MGNREGA enacted?
23. What is India's nominal GDP rank globally?
24. India's forex reserves rank is how much globally?
25. What year were the LPG reforms initiated and who was the Finance Minister?

Answers: 1. P.C. Mahalanobis (heavy industry model) 2. 1 January 2015 3. National Institution for Transforming India 4. 14th Finance Commission (Chair: Y.V. Reddy) 5. Arvind Panagariya 6. Article 280 7. 1 April 1935 8. 1 January 1949 9. C.D. Deshmukh (1943–49) 10. CACP (Commission for Agricultural Costs and Prices) 11. 23 crops 12. 1 July 2017 13. 101st Constitutional Amendment, 2016 14. Petroleum, alcohol, electricity duty (also stamp duty) 15. 14 banks 16. 6 banks 17. 12 public sector banks 18. 11 April 2016 19. NPCI (National Payments Corporation of India) 20. 130/193 (UNDP 2025 report) 21. Mahbub ul Haq and Amartya Sen (1990) 22. 2005 23. 6th largest (nominal GDP, ~ 4.15 trillion as of April 2026) 24. 4th largest globally (700 billion) 25. 1991; FM Manmohan Singh (PM Narasimha Rao)

APPENDIX B — Trap Recognition Card

Trap	Common mistake	Correct answer
Planning Commission abolished	2015	2014 (replaced by NITI Aayog from 1 Jan 2015; PC worked through 2014)
RBI founded vs. nationalised	Same year	Founded 1935; nationalised 1949 — 14 years apart
GDP PPP rank vs nominal	Same	PPP = 3rd; Nominal = 6th (as of 2026)
Father of Green Revolution (India)	Norman Borlaug	M.S. Swaminathan (Borlaug = world; Swaminathan = India)
Mahalanobis Plan	3rd Five-Year Plan	2nd Five-Year Plan (1956–61)
Finance Commission — Art	Not sure	Article 280
Last 5-year plan	11th	12th (2012–17)
GST council — voting	Simple majority	3/4 majority
Outside GST	Just petrol	Petrol, diesel, ATF, crude oil, natural gas, alcohol, electricity duty, stamp duty
CPI base year	2012	2024 (new series released February 2026)
WTO founded	1947	1995 (GATT was 1947; WTO is the 1995 successor)
India joined IMF	After 1947	1945 — India is an original member (one of 44 Bretton Woods founding members)
MPC members	3	6 (3 RBI + 3 external)